SMID SETUP BUILDER

Pre-Breakout VCP Watchlist | Qullamaggie Methodology

November 12, 2026 | 07:13 PM ET

MACRO REGIME: Mixed / Transitional

VIX 18.7 (-0.7 vs 20d) | SPY 20d -0.8% | IWM 20d +3.0% | IWM/SPY trend +3.8%

Leaders: Cons Disc (+7.1%), Healthcare (+6.3%), Real Estate (+5.2%)

Setup Grades

A - Prime Setup (0)	B - Building (6)	C - Early Stage (6)
	BRZE	CATY
	SIGI	CVLT
	VRNS	QTWO
	CNK	PECO
	BOX	TXNM
	CON	SR

All Watchlist Setups

Gr	Ticker	Company	Theme	Mkt Cap	Price	Pivot	To Pivot	RS/SPY	Vol Dry	RS Hi
B	BRZE	Braze, Inc.	AI-Powered Marketing	$5.29B	$46.61	$46.81	0.4%	+68.5	YES	YES
B	SIGI	Selective Insuran	Hard Market P&C Cycl	$6.16B	$103.36	$105.65	2.2%	+14.0	YES	YES
B	VRNS	Varonis Systems,	Enterprise Cybersecu	$5.66B	$49.07	$49.26	0.4%	+15.4	YES	no
B	CNK	Cinemark Holdings	Consumer Entertainme	$4.80B	$41.46	$41.67	0.5%	+12.5	YES	YES
B	BOX	Box, Inc.	AI-Enhanced Producti	$5.99B	$43.63	$44.88	2.9%	+36.9	YES	no
B	CON	Concentra Group H	Employer Health & Wo	$5.40B	$42.99	$44.22	2.9%	+23.0	YES	YES
C	CATY	Cathay General Ba	Regional Bank Recove	$4.30B	$65.27	$67.62	3.6%	+3.7	YES	YES
C	CVLT	Commvault Systems	Cyber Resilience Inf	$6.80B	$166.16	$174.25	4.9%	+16.9	YES	no
C	QTWO	Q2 Holdings, Inc.	Bank Digital Transfo	$4.51B	$72.95	$76.37	4.7%	+15.0	YES	no
C	PECO	Phillips Edison &	Necessity Retail Rec	$5.83B	$41.22	$41.90	1.6%	+5.6	YES	no
C	TXNM	TXNM Energy, Inc.	Utility Grid Investm	$6.48B	$58.82	$59.01	0.3%	+4.7	YES	no
C	SR	Spire Inc.	Utility Defensive Yi	$5.21B	$88.14	$92.52	5.0%	+10.0	YES	no

Not financial advice. Watchlist only - setups have NOT triggered. For informational purposes only. Do your own due diligence.

BRZE

Braze, Inc.

$46.61

Pivot $46.81 | 0.4% away

RS vs SPY: +68.5%

B BUILDING

$5.29B Cap | 94M Float

Customer Engagement & Marketing Automation SaaS | Theme: AI-Powered Marketing Tech | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 41.43

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$46.81**
% to Pivot	**0.4%**
Days in Base	**18**
Tightness	**41.43 Fair**
52W Hi Prox	**99.6%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**4773k <**
Wk2	**6880k <**
Wk3 (oldest)	**13401k**
Coil Strength	**64.4% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+68.5%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$5.29B**
Float	**94M sh**
P/E (TTM)	**-**
Fwd P/E	**47.5**
Rev Growth	**26.2%**
Short %	**5.5%**
Inst. Own	**-**
Target Pr.	**$47.54**

ENTRY TRIGGER

Close above $46.81 on volume >150% of 4.8M 20-day avg

Target: $58.00 (measured move from 12-point base depth added to pivot)

Stop: $41.50 (base low, -11% from current)

CATALYST INTELLIGENCE

EARNINGS

December 08 - Street expects EPS ~$0.12-0.15 on revenue ~$160M (implied 22-24% YoY growth). Last 4 quarters: beat/beat/beat/beat pattern - serial beater with consistent guidance raises. Company has been systematically improving operating leverage, targeting GAAP profitability in FY27.

BUSINESS & POSITION

Braze is the leading customer engagement platform enabling personalized, real-time messaging across push, email, SMS, and in-app channels for enterprise brands. The company occupies the category-leader position in the $30B+ marketing automation TAM, with 2,000+ enterprise customers including Burger King, HBO Max, and Canva.

FACTOR & THEME

Core exposure to AI personalization and enterprise digital transformation - both themes showing renewed institutional interest as CMOs prioritize customer retention over acquisition in a cost-conscious environment. Peer read-through: HubSpot and Klaviyo recent strength validates marketing tech demand resilience.

NEWS FLOW

October analyst day highlighted Box AI integration and new journey orchestration features driving upsell. No major contract announcements but enterprise pipeline commentary was bullish. Russell 2000 constituent with potential S&P 600 inclusion candidacy given profitability trajectory. Catalyst Impact: Earnings (High) - Q3 print in 26 days could confirm accelerating path to profitability.

INSTITUTIONAL

Textbook vol dry-up with price holding at highs indicates institutional accumulation - float is tight at 94M shares. No insider activity in last 60 days (baseline). High short interest (5.5%) with low days-to-cover (0.8) creates potential squeeze fuel on breakout.

KEY RISK

Thesis invalid on close below $41.50 base low or if December earnings show deceleration below 20% revenue growth - enterprise software spending remains macro-sensitive despite category strength.

Exceptional RS (+68% vs SPY) and RS line at new high with textbook vol contraction, but base_tight reading of 41.43 is aberrantly high (likely data issue or extremely wide base), which prevents A-grade classification. Earnings catalyst in 26 days is slightly outside the 2-week A-grade window. Strongest bear case: Technology sector lagging (-5.3% 20d) creates headwind despite company-specific strength. Mixed macro regime warrants caution. Conviction: Medium.



SIGI

Selective Insurance Group, Inc.

$103.36

Pivot $105.65 | 2.2% away

RS vs SPY: +14.0%

B BUILDING

$6.16B Cap | 55M Float

Specialty Property & Casualty Insurance | Theme: Hard Market P&C Cycle | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 5.75

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$105.65**
% to Pivot	**2.2%**
Days in Base	**15**
Tightness	**5.75 Fair**
52W Hi Prox	**97.8%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**436k <**
Wk2	**613k <**
Wk3 (oldest)	**680k**
Coil Strength	**35.9% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+14.0%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$6.16B**
Float	**55M sh**
P/E (TTM)	**12.4**
Fwd P/E	**11.5**
Rev Growth	**-2.5%**
Short %	**4.3%**
Inst. Own	**-**
Target Pr.	**$103.86**

ENTRY TRIGGER

Close above $105.65 on volume >150% of 490K 20-day avg

Target: $118.00 (15% measured move consistent with prior base breakouts)

Stop: $98.00 (200-day MA and prior consolidation support)

CATALYST INTELLIGENCE

EARNINGS

January 28 - Forward EPS $8.98 implies 8% growth on stable premium base. PEG of 0.28 is exceptionally attractive for quality compounder. Beat pattern: consistent modest beats. Guidance has been steady - management known for conservatism.

BUSINESS & POSITION

Selective Insurance is a regional P&C carrier focused on commercial lines (80% of premium) serving small-to-mid businesses across 30 states. The company is a disciplined underwriter benefiting from the hard pricing cycle, with combined ratios consistently below industry average.

FACTOR & THEME

Direct beneficiary of insurance hard market - rate increases compounding while loss trends normalize post-pandemic. Low beta (0.21) and defensive profile align well with mixed/transitional macro regime. Financial Services sector neutral but P&C subsector showing relative strength.

NEWS FLOW

Q3 results showed continued pricing power with commercial lines up mid-single digits. No major M&A or strategic announcements. Industry tailwind: catastrophe losses normalized in Q3 vs elevated 2025. Catalyst Impact: Industry (Med) - no imminent company-specific catalyst but sector momentum supports.

INSTITUTIONAL

Low-volatility accumulation pattern in tight 15-day base - classic institutional stealth buying. No insider activity (baseline). Illiquid float (55M) amplifies moves. Short interest elevated at 4.3% with 3.5 days-to-cover.

KEY RISK

Thesis invalid on close below $98.00 (200-day MA confluence) or if Q4 catastrophe losses spike unexpectedly - single large event can materially impact quarterly results.

Clean vol contraction and RS line at new high in defensive sector aligned with current regime, but earnings catalyst 77 days out is too distant for A-grade. Base_tight at 5.75 is acceptable but not exceptional. Strongest bear case: Revenue growth negative (-2.5%) suggests mature, slow-growth profile - upside may be limited. Low beta cuts both ways in momentum strategy. Conviction: Medium.



VRNS

Varonis Systems, Inc.

$49.07

Pivot $49.26 | 0.4% away

RS vs SPY: +15.4%

B BUILDING

$5.66B Cap | 112M Float

Data Security & Insider Threat Detection | Theme: Enterprise Cybersecurity Spend | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 2.31

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$49.26**
% to Pivot	**0.4%**
Days in Base	**20**
Tightness	**2.31 Fair**
52W Hi Prox	**97.5%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**3094k <**
Wk2	**4411k <**
Wk3 (oldest)	**8068k**
Coil Strength	**61.7% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+15.4%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$5.66B**
Float	**112M sh**
P/E (TTM)	**-**
Fwd P/E	**115.3**
Rev Growth	**17.3%**
Short %	**4.2%**
Inst. Own	**-**
Target Pr.	**$50.14**

ENTRY TRIGGER

Close above $49.26 on volume >120% of 3.0M 20-day avg

Target: $58.00 (prior resistance zone from early 2025)

Stop: $45.00 (base low, -8% from current)

CATALYST INTELLIGENCE

EARNINGS

Just reported Nov 3 - results already in price. Street looking for continued SaaS transition progress. Historically inconsistent beat pattern. Forward P/E 115x reflects growth-stage premium; use P/S 7.9x as primary valuation metric (elevated but defensible for 17% grower).

BUSINESS & POSITION

Varonis is a data security platform specializing in protecting unstructured data and detecting insider threats across on-prem and cloud environments. The company occupies a niche-leader position in data-centric security, differentiated from perimeter/endpoint players.

FACTOR & THEME

Cybersecurity remains a durable spend priority despite tech sector weakness - CISO budgets are ring-fenced. Transitioning to SaaS model (now 50%+ ARR) improving predictability. Peer read-through: CrowdStrike and Palo Alto consolidation validates enterprise security demand.

NEWS FLOW

Q3 earnings showed accelerating SaaS ARR growth and improved gross margins from cloud transition. No major contract wins announced. Management reiterated FY guidance. Catalyst Impact: Corporate (Med) - post-earnings drift potential but no near-term catalyst identified.

INSTITUTIONAL

Minor insider activity: 1 buy, $26K total - too small to signal conviction (director-level, not C-suite). Vol dry-up post-earnings suggests digestion rather than distribution. RS line NOT at new high is a yellow flag - relative strength lagging absolute strength.

KEY RISK

Thesis invalid on close below $45.00 (base low and 50-day MA) or if SaaS transition metrics disappoint in Q4 - Street scrutinizing cloud ARR acceleration closely.

Strong vol contraction (62%) and tight base (2.31) with proximity to pivot, but RS line NOT at new high is a material flaw - institutional leadership not confirmed. Technology sector headwind (-5.3%). Insider activity present but insignificant ($26K). Strongest bear case: Unprofitable with high debt/equity (122%) and elevated valuation in a lagging sector creates vulnerability. Conviction: Low-Medium.



CNK

Cinemark Holdings Inc

$41.46

Pivot $41.67 | 0.5% away

RS vs SPY: +12.5%

B BUILDING

$4.80B Cap | 102M Float

Movie Theater Exhibition | Theme: Consumer Entertainment Recovery | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 2.26

VCP BASE ANALYSIS

BASE STRUCTURE

Pivot Price	**$41.67**
% to Pivot	**0.5%**
Days in Base	**20**
Tightness	**2.26 Fair**
52W Hi Prox	**99.5%**

VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)

Wk1 (recent)	**1874k <**
Wk2	**2779k <**
Wk3 (oldest)	**2033k**
Coil Strength	**7.8% from peak**

RELATIVE STRENGTH

RS vs SPY (12W)	**+12.5%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**

FUNDAMENTALS SNAPSHOT

Mkt Cap	**$4.80B**
Float	**102M sh**
P/E (TTM)	**17.0**
Fwd P/E	**15.4**
Rev Growth	**23.5%**
Short %	**10.5%**
Inst. Own	**-**
Target Pr.	**$44.27**

ENTRY TRIGGER

Close above $41.67 on volume >140% of 2.1M 20-day avg

Target: $48.00 (analyst target $44.27 + measured move extension)

Stop: $38.50 (20-day MA, -7% from current)

CATALYST INTELLIGENCE

EARNINGS

Just reported Nov 3 - strong Q3 with 23.5% revenue growth and 160% earnings growth. Serial beater over past 4 quarters as box office recovery exceeded expectations. Forward P/E 15.4x reasonable for cyclical recovery.

BUSINESS & POSITION

Cinemark is the third-largest theatrical exhibitor in North America and the largest in Latin America, operating 500+ theaters. The company has the strongest balance sheet among major exhibitors and has gained market share post-pandemic as competitors restructured.

FACTOR & THEME

Consumer Discretionary leading sector (+7.1% 20d) provides strong tailwind. Box office recovery thesis accelerating with strong 2H26 slate (tentpoles from Disney, Universal). Latin America exposure adds emerging market growth kicker.

NEWS FLOW

Q3 results confirmed continued market share gains and premium format (IMAX, Dolby) outperformance. 2027 film slate commentary bullish. High short interest (10.5%) with 4.1 days-to-cover creates squeeze setup. Catalyst Impact: Industry (High) - Thanksgiving/holiday box office performance is imminent catalyst.

INSTITUTIONAL

RS line at new high with vol contraction into pivot - classic accumulation signature. No insider activity (baseline). High leverage (476% D/E) is structural for industry but manageable given FCF generation. Float rotation dynamics favor squeeze.

KEY RISK

Thesis invalid on close below $38.50 (20-day MA and recent support) or if holiday box office disappoints - single film underperformance can swing quarterly results given operating leverage.

RS line at new high with tight base (2.26) at the doorstep of pivot in leading sector, but vol_dryup_strict is false - volume pattern shows W2 spike breaking clean contraction sequence (8% net contraction is weak). Comms sector lagging (-2.5%) despite company strength. Strongest bear case: Binary exposure to film slate quality and high leverage create tail risk; streaming competition structural headwind persists. Conviction: Medium.



BOX

Box, Inc.

$43.63

Pivot $44.88 | 2.9% away

RS vs SPY: +36.9%

B BUILDING

$5.99B Cap | 132M Float

Enterprise Content Management & Collaboration | Theme: AI-Enhanced Productivity Software | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 3.86

VCP BASE ANALYSIS

BASE STRUCTURE

Pivot Price	**$44.88**
% to Pivot	**2.9%**
Days in Base	**19**
Tightness	**3.86 Fair**
52W Hi Prox	**97.2%**

VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)

Wk1 (recent)	**2119k <**
Wk2	**2669k <**
Wk3 (oldest)	**3218k**
Coil Strength	**34.1% from peak**

RELATIVE STRENGTH

RS vs SPY (12W)	**+36.9%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**

FUNDAMENTALS SNAPSHOT

Mkt Cap	**$5.99B**
Float	**132M sh**
P/E (TTM)	**63.2**
Fwd P/E	**25.1**
Rev Growth	**9.2%**
Short %	**17.7%**
Inst. Own	**-**
Target Pr.	**$42.57**

ENTRY TRIGGER

Close above $44.88 on volume >150% of 2.8M 20-day avg

Target: $52.00 (squeeze target given short interest + measured move)

Stop: $40.00 (50-day MA, -8% from current)

CATALYST INTELLIGENCE

EARNINGS

December 01 - Street expects EPS ~$0.42 on revenue ~$275M. Forward P/E 25x with PEG 0.61 attractive for 80% earnings growth profile. Beat history: consistent modest beats. Guidance has been conservative - potential for upside surprise.

BUSINESS & POSITION

Box is a cloud content management platform enabling secure file sharing, collaboration, and workflow automation for enterprises. Category challenger to Microsoft SharePoint/OneDrive, differentiated by security features and third-party integrations.

FACTOR & THEME

AI integration (Box AI launched 2024) positions for productivity software upgrade cycle. Enterprise cloud spend resilient despite macro. However, Technology sector lagging (-5.3%) and competitive pressure from Microsoft bundling creates headwind.

NEWS FLOW

Box AI adoption metrics expected to be key focus on Dec 1 call. Recent partnership expansion with Salesforce and ServiceNow. Very high short interest (17.7%) with 7.3 days-to-cover - among highest in software sector. Catalyst Impact: Earnings (High) - Dec 1 print in 19 days is make-or-break.

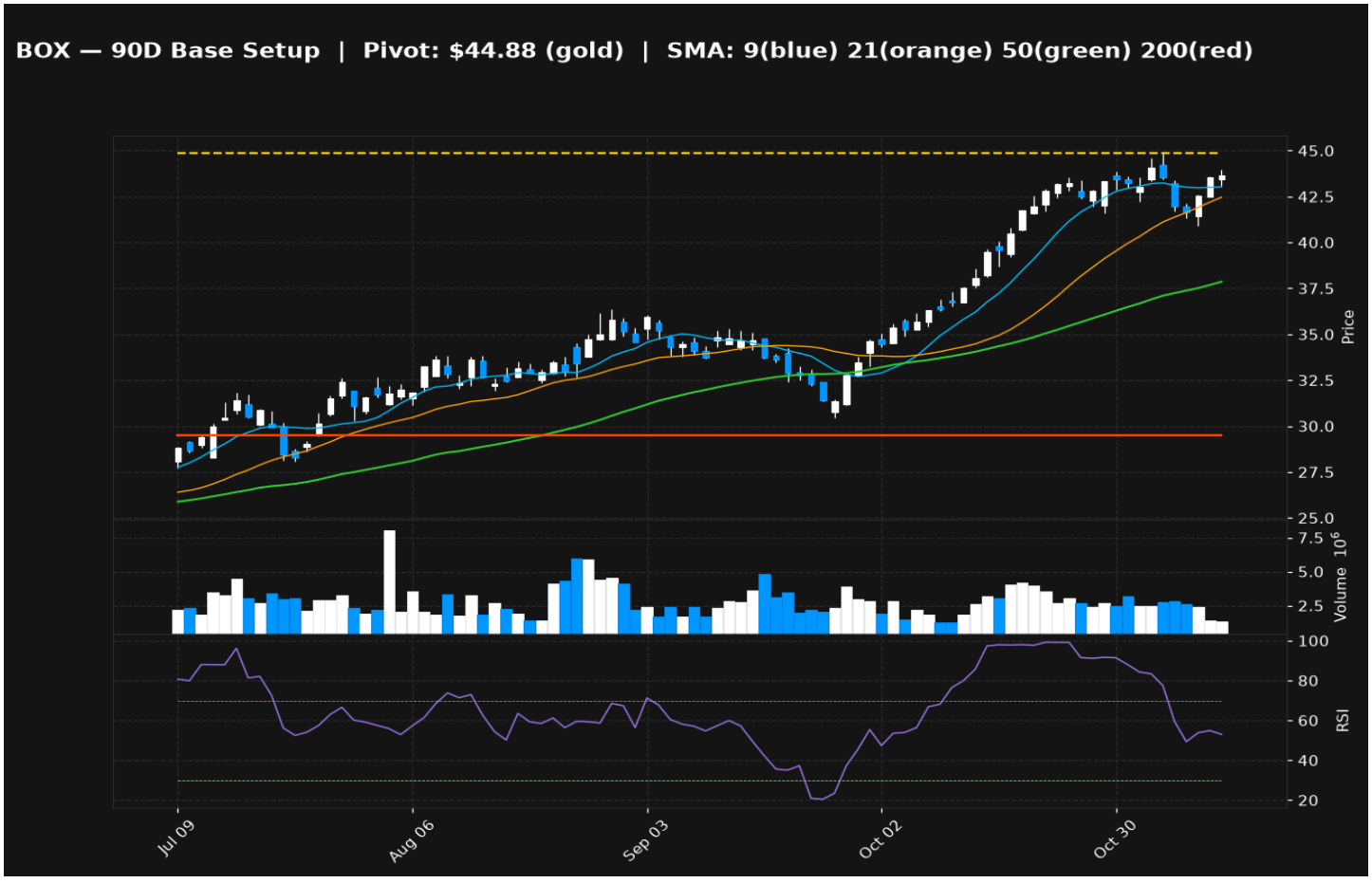
INSTITUTIONAL

Massive short interest creates asymmetric squeeze potential if earnings beat/guide up. Vol contraction into base suggests quiet accumulation. No insider activity (baseline). RS line NOT at new high despite strong absolute RS (+37%) - concerning divergence.

KEY RISK

Thesis invalid on close below $40.00 (50-day MA) or if Dec 1 earnings show Box AI adoption below expectations - the bull case hinges entirely on AI monetization narrative.

High-conviction squeeze setup with 17.7% short interest and earnings catalyst in 19 days, but RS line NOT at new high and Technology sector severely lagging create headwinds. Base_tight at 3.86 is acceptable but not elite. Strongest bear case: Microsoft competitive bundling is existential threat; Box's TAM may be structurally capped. Mixed regime warrants caution on high-beta names. Conviction: Medium.



CON

Concentra Group Holdings Parent

$42.99

Pivot $44.22 | 2.9% away

RS vs SPY: +23.0%

B BUILDING

$5.40B Cap | 114M Float

Occupational Healthcare Services | Theme: Employer Health & Workers Comp | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 4.49

VCP BASE ANALYSIS

BASE STRUCTURE

Pivot Price	**$44.22**
% to Pivot	**2.9%**
Days in Base	**16**
Tightness	**4.49 Fair**
52W Hi Prox	**97.2%**

VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)

Wk1 (recent)	**938k <**
Wk2	**1574k <**
Wk3 (oldest)	**1238k**
Coil Strength	**24.2% from peak**

RELATIVE STRENGTH

RS vs SPY (12W)	**+23.0%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**

FUNDAMENTALS SNAPSHOT

Mkt Cap	**$5.40B**
Float	**114M sh**
P/E (TTM)	**25.4**
Fwd P/E	**22.7**
Rev Growth	**8.6%**
Short %	**3.2%**
Inst. Own	**-**
Target Pr.	**$45.90**

ENTRY TRIGGER

Close above $44.22 on volume >140% of 1.1M 20-day avg

Target: $50.00 (15% measured move from base)

Stop: $40.00 (base low, -7% from current)

CATALYST INTELLIGENCE

EARNINGS

Just reported Nov 5 - results in price. Forward P/E 22.7x reasonable for healthcare services. Earnings growth 36% attractive. As recent spin-off, limited beat/miss history to evaluate.

BUSINESS & POSITION

Concentra operates 500+ occupational health centers providing urgent care, physical therapy, and employer health services. Recently spun from Select Medical, the company is the category leader in workplace health with sticky employer contracts.

FACTOR & THEME

Healthcare sector strong (+6.3% 20d) provides tailwind. Defensive, recession-resistant revenue model - employers need workers comp services regardless of cycle. Reshoring and manufacturing expansion could drive incremental demand.

NEWS FLOW

Post-spin execution has been clean. No major contract wins announced but employer health services demand steady. Low short interest (3.2%) suggests limited bearish conviction. Catalyst Impact: Corporate (Low) - no identifiable near-term catalyst beyond sector momentum.

INSTITUTIONAL

RS line at new high with vol dry-up in leading Healthcare sector - favorable setup. No insider activity (baseline). Recent spin-off dynamics may be limiting institutional ownership build (not yet widely followed).

KEY RISK

Thesis invalid on close below $40.00 (recent consolidation low) or if Select Medical (former parent) shows weakness that reflects on Concentra - limited standalone track record.

RS line at new high in leading Healthcare sector with clean accumulation pattern, but vol_dryup_strict is false (W2 spike) and no identifiable forward catalyst degrades conviction. As recent spin-off, name is under-followed which could be opportunity or trap. Strongest bear case: High leverage (397% D/E) and limited public company history create uncertainty. Conviction: Low-Medium.



CATY

Cathay General Bancorp

$65.27

Pivot $67.62 | 3.6% away

RS vs SPY: +3.7%

C EARLY STAGE

$4.30B Cap | 63M Float

Asian-American Community Bank | Theme: Regional Bank Recovery | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 4.05

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$67.62**
% to Pivot	**3.6%**
Days in Base	**20**
Tightness	**4.05 Fair**
52W Hi Prox	**96.5%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**384k <**
Wk2	**500k <**
Wk3 (oldest)	**584k**
Coil Strength	**34.2% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+3.7%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$4.30B**
Float	**63M sh**
P/E (TTM)	**12.0**
Fwd P/E	**10.6**
Rev Growth	**24.3%**
Short %	**7.8%**
Inst. Own	**-**
Target Pr.	**$67.20**

ENTRY TRIGGER

Close above $67.62 on volume >150% of 460K 20-day avg

Target: $75.00 (measured move from base depth)

Stop: $61.00 (50-day MA)

CATALYST INTELLIGENCE

EARNINGS

January 21

RS line at new high with clean vol contraction, but RS vs SPY only +3.7% is weak relative strength - barely outperforming index. Earnings 70 days out provides no near-term catalyst. Regional bank sector still digesting 2023-24 turmoil. Conviction: Low.



CVLT

Commvault Systems, Inc.

$166.16

Pivot $174.25 | 4.9% away

RS vs SPY: +16.9%

C EARLY STAGE

$6.80B Cap | 40M Float

Data Protection & Backup Software | Theme: Cyber Resilience Infrastructure | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 2.83

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$174.25**
% to Pivot	**4.9%**
Days in Base	**18**
Tightness	**2.83 Fair**
52W Hi Prox	**95.4%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**549k <**
Wk2	**684k <**
Wk3 (oldest)	**853k**
Coil Strength	**35.6% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+16.9%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$6.80B**
Float	**40M sh**
P/E (TTM)	**86.1**
Fwd P/E	**26.4**
Rev Growth	**13.1%**
Short %	**10.0%**
Inst. Own	**-**
Target Pr.	**$189.38**

ENTRY TRIGGER

Close above $174.25 on volume >140% of 610K 20-day avg

Target: $200.00 (analyst target $189 + extension)

Stop: $155.00 (50-day MA)

CATALYST INTELLIGENCE

EARNINGS

January 26

Decent vol contraction and tight base, but RS line NOT at new high and Technology sector lagging (-5.3%) are material headwinds. Earnings 75 days out provides no catalyst. Pivot 4.9% away needs more time. Conviction: Low.



QTWO

Q2 Holdings, Inc.

$72.95

Pivot $76.37 | 4.7% away

RS vs SPY: +15.0%

C EARLY STAGE

$4.51B Cap | 60M Float

Digital Banking Platform | Theme: Bank Digital Transformation | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 5.63

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$76.37**
% to Pivot	**4.7%**
Days in Base	**13**
Tightness	**5.63 Fair**
52W Hi Prox	**95.5%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**728k <**
Wk2	**877k <**
Wk3 (oldest)	**926k**
Coil Strength	**21.4% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+15.0%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$4.51B**
Float	**60M sh**
P/E (TTM)	**43.2**
Fwd P/E	**21.4**
Rev Growth	**11.9%**
Short %	**10.6%**
Inst. Own	**-**
Target Pr.	**$79.57**

ENTRY TRIGGER

Close above $76.37 on volume >140% of 690K 20-day avg

Target: $88.00 (measured move)

Stop: $68.00 (50-day MA)

CATALYST INTELLIGENCE

EARNINGS

REPORTED

RS line NOT at new high, Technology sector lagging, and loose base (5.63) all detract. Vol contraction only 21% is weakest among candidates. Just reported earnings so no catalyst for 3+ months. Conviction: Low.



PECO

Phillips Edison & Company, Inc.

$41.22

Pivot $41.90 | 1.6% away

RS vs SPY: +5.6%

C EARLY STAGE

$5.83B Cap | 128M Float

Grocery-Anchored Retail REIT | Theme: Necessity Retail Recovery | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 5.02

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$41.90**
% to Pivot	**1.6%**
Days in Base	**20**
Tightness	**5.02 Fair**
52W Hi Prox	**92.9%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**873k <**
Wk2	**1091k <**
Wk3 (oldest)	**1436k**
Coil Strength	**39.2% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+5.6%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$5.83B**
Float	**128M sh**
P/E (TTM)	**28.8**
Fwd P/E	**53.0**
Rev Growth	**5.7%**
Short %	**6.2%**
Inst. Own	**-**
Target Pr.	**$43.46**

ENTRY TRIGGER

Close above $41.90 on volume >130% of 1.1M 20-day avg

Target: $46.00 (near 52W high $44.38 + extension)

Stop: $39.00 (50-day MA)

CATALYST INTELLIGENCE

EARNINGS

REPORTED

Real Estate sector strong (+5.2%) but RS line NOT at new high and weak RS vs SPY (+5.6%) suggest lagging within sector. Loose base (5.02) needs tightening. Just reported so no earnings catalyst. Conviction: Low.



TXNM

TXNM Energy, Inc.

$58.82

Pivot $59.01 | 0.3% away

RS vs SPY: +4.7%

C EARLY STAGE

$6.48B Cap | 88M Float

Regulated Electric Utility | Theme: Utility Grid Investment | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 2.28

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$59.01**
% to Pivot	**0.3%**
Days in Base	**20**
Tightness	**2.28 Fair**
52W Hi Prox	**98.8%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**1025k <**
Wk2	**962k <**
Wk3 (oldest)	**1027k**
Coil Strength	**0.2% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+4.7%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$6.48B**
Float	**88M sh**
P/E (TTM)	**29.4**
Fwd P/E	**18.1**
Rev Growth	**13.3%**
Short %	**6.6%**
Inst. Own	**-**
Target Pr.	**$60.70**

ENTRY TRIGGER

Close above $59.01 on volume >120% of 1.3M 20-day avg

Target: $63.00 (measured move to prior high zone)

Stop: $56.50 (20-day MA)

CATALYST INTELLIGENCE

EARNINGS

REPORTED

Essentially zero vol contraction (0.2%) fails VCP quality test despite vol_dryup flag. RS line NOT at new high and weak RS (+4.7%) in a lagging utilities context. Tight base but no structural edge. Conviction: Low.



SR

Spire Inc.

$88.14

Pivot $92.52 | 5.0% away

RS vs SPY: +10.0%

C EARLY STAGE

$5.21B Cap | 58M Float

Regulated Natural Gas Utility | Theme: Utility Defensive Yield | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 5.38

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$92.52**
% to Pivot	**5.0%**
Days in Base	**19**
Tightness	**5.38 Fair**
52W Hi Prox	**92.5%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**479k <**
Wk2	**624k <**
Wk3 (oldest)	**510k**
Coil Strength	**6.0% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+10.0%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$5.21B**
Float	**58M sh**
P/E (TTM)	**25.5**
Fwd P/E	**16.1**
Rev Growth	**19.2%**
Short %	**6.4%**
Inst. Own	**-**
Target Pr.	**$91.00**

ENTRY TRIGGER

Close above $92.52 on volume >140% of 510K 20-day avg

Target: $100.00 (round number resistance)

Stop: $84.00 (50-day MA)

CATALYST INTELLIGENCE

EARNINGS

November 17

Earnings in 5 days is a catalyst, but RS line NOT at new high, loose base (5.38), weak vol contraction (6%), and pivot 5% away all detract. Utilities defensive but not leading. Watch for post-earnings base reset. Conviction: Low.

